

volatility is low, people tend to be optimistic, and this is reflected in the amount of risk they are willing to take. But that is not the point of a questionnaire. The idea is to see how you will react in bear markets. Accordingly, I do recommend taking a risk tolerance questionnaire only after a sharp decline in stock prices of 10 percent or more and you are not feeling good about it.

Despite the problems surrounding investment questionnaires, they do get people thinking about the maximum level of risk they can handle, and that is a start. These tools are just one arrow in your quiver to help guide you into an appropriate portfolio.

THE ASSET ALLOCATION STRESS TEST

Once you believe that you have an asset allocation that is appropriate for your needs, there is another tool that can help you determine if it is at or below your risk tolerance level. The asset allocation stress test is a simple form of market simulation that will help you understand how you might react during the next downturn in the financial markets.

The technique involves asking “what if” questions, and the investor answering them honestly. Here is a simple example of such a question:

Assume that you invested half of your life savings in a total U.S. stock market index fund and the other half in a total U.S. bond market index fund. By the end of the year, the stock fund had collapsed by 30 percent, while the bond fund was up by 10 percent. You planned to rebalance the portfolio back to a 50 percent stock and 50 percent bond position annually. However, given the large loss in the stock portion, what action would you take?

1. Rebalance the portfolio back to the 50 percent stock and 50 percent bond target.
2. Do nothing until you have a clearer picture of market direction.
3. Sell part of the stock fund and buy more of the bond fund to reduce your risk.

If the 50 percent stock and 50 percent bond allocation was at a level below your risk tolerance, you would choose answer 1—sell bonds and buy